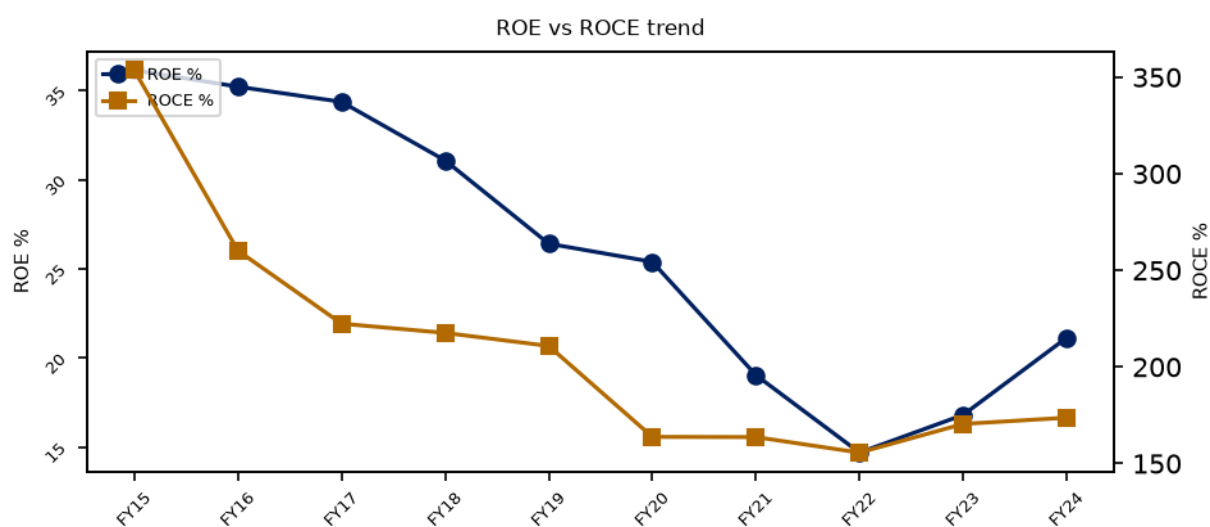
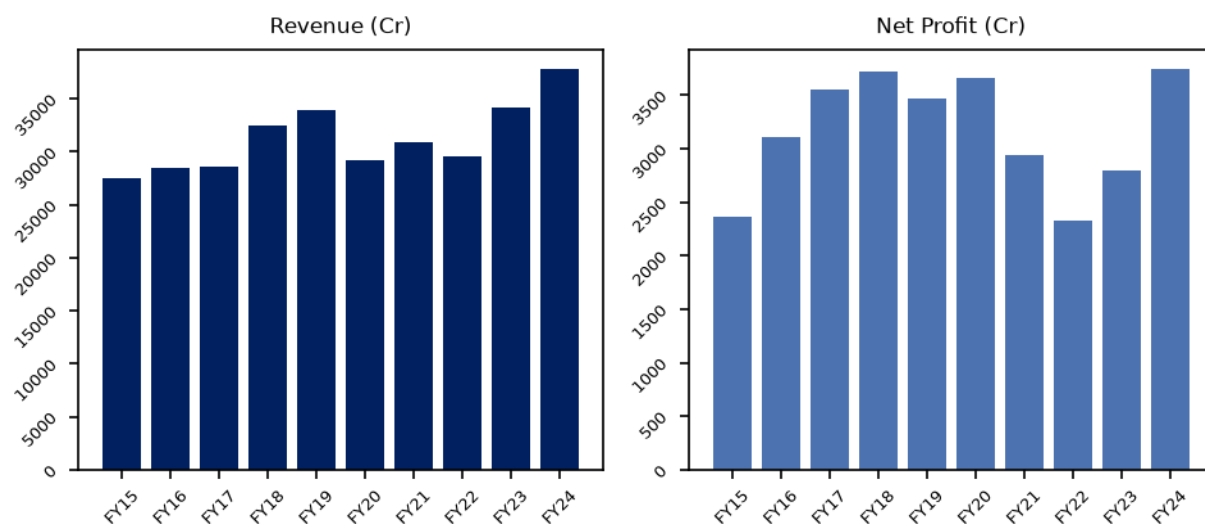
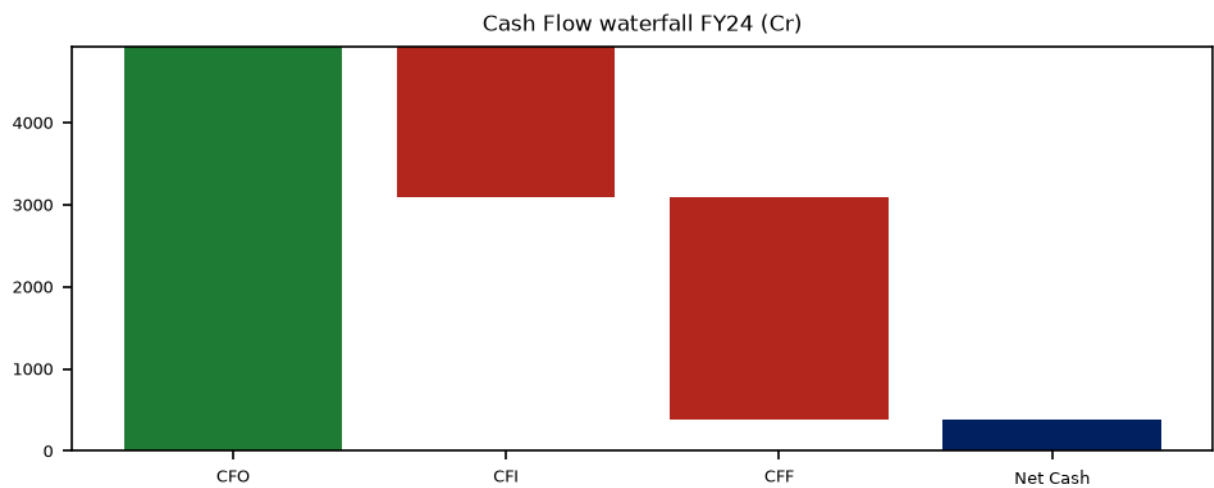
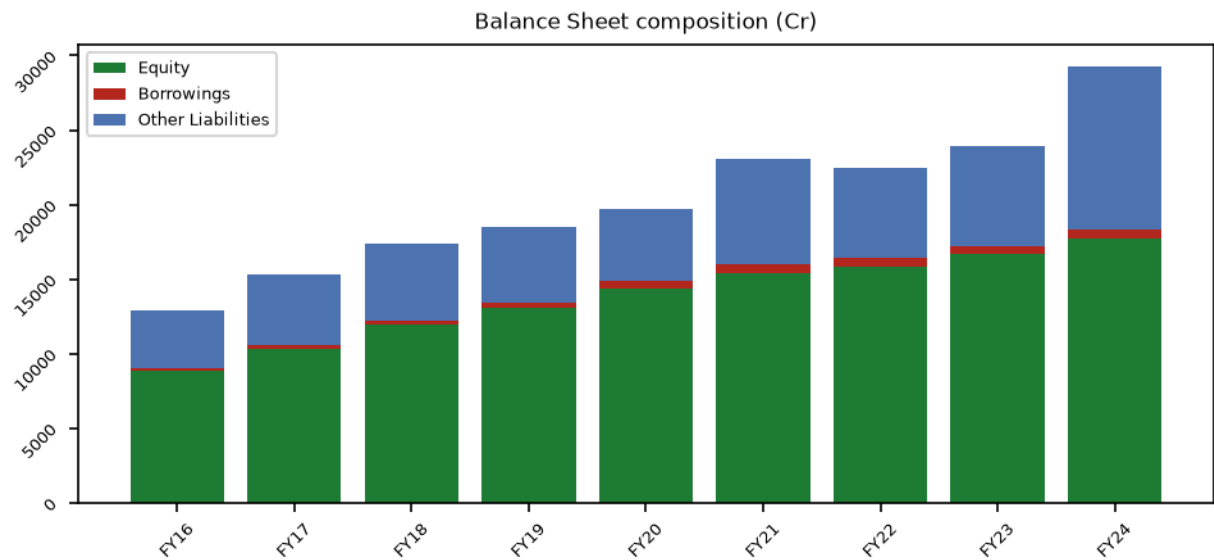


Hero MotoCorp Ltd (HEROMOTOCO) — Consumer Discretionary / Two Wheelers

21.1 ROE %	173.7 ROCE %	9.9 Net Margin %
0.0x D/E	2.2 Rev CAGR 5Y %	53.9 P/E



HEROMOTOCO — Balance Sheet & Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Operating margins declining for 3 consecutive years suggests pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Shareholder Returns & Reinvestment